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INVESTMENT INSTITUTE

Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Textbook

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Last week's S&P 500 Index:
+0.9%

Key takeaways

» *Last Friday's stock rally to end the week was sparked by a smaller-than-expected increase in year-over-year average hourly earnings number contained in the February employment report.*

» *Stocks will continue to be fixated on the potential for wage inflation, overall inflation and the magnitude of Federal Reserve (Fed) rate hikes this year.*

Over the course of the past month or so, this strategist had suggested that last Friday's employment report (covering the month of February) would contain the most important piece of economic data for the entire month: the year-over-year change in average hourly earnings (AHE). We encouraged our regular readers to tune in to their favorite business television cable station a few minutes before the 8:30 a.m. Eastern Time/7:30 a.m. Central Time release if they wanted to see just how sensitive the stock market could be to data that comes in just 0.2 or 0.3 different than what the consensus expects. In this environment, and at this point in the cycle, it is a fine line between what is good and bad for the stock market.

Our theory was that if the change in AHE was in the 2.6% to 2.7% area, versus the surprise 2.9% reading in January, the stock market would rally. On the other hand, if wage inflation accelerated to 3.0% or 3.1% last month, it likely would be an ugly day in the stock market. We hope that at least some of you were anxiously awaiting the release of the report to see the result and watch the reaction. We certainly were in the Equity Strategy group. And we were not disappointed.

We have argued since the fall of 2016 that the stock market would be very sensitive to even just the potential for wage inflation in the second half of 2017 and into 2018. Recall that on February 2 of this year, when the January employment report was released, the S&P 500 Index began its six-day, 10% tumble in response to the previously mentioned wage gains that were a few tenths of a percent more than expected. Higher wages could have a negative impact on corporate margins as well as feed market fears that overall inflation might ramp meaningfully higher, pushing the Fed to increase rates more than three times this year. The market is laser focused on the magnitude of Fed rate hikes this year.

So, for those of you that missed it, last Friday's employment report showed that AHE rose just 2.6% over the previous 12 months. As a result, the Dow Jones Industrial Average rose more than 400 points and the S&P 500 Index jumped nearly 50 points by the close of the trading day. The employment report did show that more jobs were created last month than the average economist expected, but that is not why stocks rallied, at least in this strategist's opinion. The major averages all ended the day meaningfully higher because wage inflation backed off, which gives the market hope that the Fed will not increase interest rates more than three times this year. We continue to believe that four or more hikes in 2018 would be a problem for the equity market.

It has taken a long time for investors to come to grips with three Fed rate hikes this year. But, in our opinion, wage growth will move slightly higher (not surge), overall inflation will move modestly higher (also not surge), and the Fed will hike rates only three times this year.

But stocks can fall on concerns of what might happen (or rise on what might not happen). Last Friday's rally was a textbook example of later-cycle trading around economic news.

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Definitions

An index is unmanaged and not available for direct investment.

Dow Jones Industrial Average is an unweighted index of 30 "blue-chip" industrial U.S. stocks.

S&P 500 Index is a market capitalization-weighted index composed of 500 widely held common stocks that is generally considered representative of the US stock market.

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